

CORPORATE PARTICIPANTS

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Jean-Pierre Sbraire - TotalEnergies SE - CFO

Q&A PARTICIPANTS

Lydia Rainforth - Barclays

Michele Della Vigna - Goldman Sachs

Douglas Leggate - Wolfe Research

Biraj Borkhataria - RBC

Martijn Rats - Morgan Stanley

Kim Fustier - HSBC

Matt Lofting - JPMorgan

Irene Himona - Bernstein

Christopher Kuplent - Bank of America

Lucas Herrmann – BNP Paribas Exane

Peter Low - Rothschild & Co. Redburn

Paul Cheng - Scotiabank

Henri Patricot - UBS

Jason Gabelman - TD Cowen

PRESENTATION

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Good afternoon, good morning, everyone. Before Jean-Pierre goes through the details of the third quarter results, I would like to make a few opening comments.

Almost exactly one month ago, we updated you with our strategy during our Capital Markets Day in New York. And we had four key messages: consistency and resilience of our two-pillar strategy; strong and secure production growth in our Oil and Gas business; accretive cash flow generation; and capital discipline. I believe that these Company's strong third quarter results, Jean-Pierre will detail with you, perfectly illustrate these key catalysts and highlights of the value proposition of our consistent and profitable growth model. Strategy is clearly in motion and is translating into more cash flow even in a more challenging environment.

Indeed, despite oil pricing dropping by more than \$10/b year-on-year, the cash flow for the third quarter increased by 4% and adjusted net income for the third quarter held steady. Why? Primarily for two reasons. First, the hydrocarbon production growth is a reality and is highly accretive. The new project barrels coming online, such as Mero Fields in Brazil, deepwater projects in the U.S. offshore GoM for oil, Tyra and Phoenix for gas, have an average cash flow margin, which is roughly twice higher than the base portfolio, and they have contributed 170 kboe/d during the first nine months of 2025 compared to 2024.

These new barrels have generated around \$400 million of additional cash flow year-on-year. So, growth volume around \$200 million, and higher margin another \$200 million. And so, they have contributed to absorb the equivalent of \$6/b of decrease in Brent in terms of cash flow. So that, I think, is a strong demonstration that our disciplined investment framework that includes strict sanctioning criteria, less than \$20/boe technical cost or less than \$30/b breakeven for E&P projects is delivering its fruits. And we expect, of course, that this cash flow tailwind from new high-margin barrels will continue as we work our way through our deep project queue. As a reminder, starting from 2025, continuing in 2026, the Company is growing upstream production by 3% per year through 2030. And what is the differentiation factor, that's the standout of our business model, is clearly that more than 95% of this production by 2030 is already either online or under construction and largely under lump sum EPC contracts, which significantly derisks the cost. So, our projects are in hand, and we are executing them. And again, this year and this last quarter demonstrate that we are well in the delivery mode. Some people think we are boring, but we are boring for the good. Cash is growing.

The second pillar of these good results was the recovery of the downstream, which contributed to the Company's resiliency with cash flow up by almost \$500 million. It is true that the refining margins were better. It's also true that we managed to capture them, thanks to the good availability of our assets. In particular, there were several turnarounds during the quarter, but they were executed in time, in schedule and in budget, and it allows us to reach our objective. And of course, Marketing & Services continue to deliver consistent results and demonstrate that the priority given to value over volume in this segment is the right approach.

In addition to highlighting the strength of our consistent strategy, this third quarter demonstrates as well that we are delivering in the short term, specifically on the second half of the 2025 plan that we laid out during the July earnings call, which included four key elements. Again, the accretive production growth, giving more cash flows, the downward inflection in our net investments coming back to the capital discipline, which decreased by \$3.5 billion quarter-over-quarter, a reversal of the seasonal working capital as we have released this quarter \$1.3 billion. And lastly, of course, all these elements improved the gearing that is now close to 17% compared to next to 18%.

So, the end result is that during the third quarter, at \$69/b, the Company generated excess free cash flow, with cash flow including working capital variation more than covering net investment plus \$4.5 billion of shareholder returns in the form of dividends and buybacks.

It's leading me to shareholder returns. The Company, of course, continues its strong track record of dividend growth. The Board of Directors decided to increase the third interim dividend by close to 8% in euro and more than 10% in dollars as compared to 2024. On the buyback side, as announced on September 24, the Board of Directors authorized up to \$1.5 billion of share buybacks for the fourth quarter 2025. And therefore, assuming annual cash flow between \$27.5 billion and \$28 billion, in particular supported by the better refining margin that we observe currently, the 2025 payout ratio is expected to remain around 56%.

Looking forward, we expect to maintain a strong momentum for the fourth quarter. Upstream production is anticipated to grow more than 4% year-on-year, like this quarter. The net investments are expected to decrease quarter-over-quarter, in particular because we will deliver the disposal proceeds, \$2 billion are expected. And at the end, the divestments net of acquisition will represent \$1.5 billion of cash inflow in the balance sheet. And that, with another anticipated positive contribution from the seasonal working capital, we anticipate to continue to strengthen the balance sheet with gearing forecasted to further decline to 15%-16% at year-end.

Last but not least, the Board of Directors has approved the roadmap to transform our ADRs into ordinary shares. And we're happy to announce that we ordered today, JPMorgan, to launch the termination process of the ADR program with the objective that ordinary shares are expected to begin trading on the New York Stock Exchange from December 8.

This is, of course, an important milestone for the Company as it will allow for a single class of TotalEnergies shares to trade with extended hours. It will be essentially a continuous listing from Paris 9:00 a.m. to New York 4:00 p.m., 10:00 p.m. Paris time. And we hope that the ordinary shares listing will be a clear catalyst for the stock in 2026 in both Paris and New York markets, and we intend to market these ordinary shares on the U.S. market even more actively than today.

I will now turn the call over to Jean-Pierre, who will go through the details of the third quarter financials.

Jean-Pierre Sbraire - TotalEnergies SE - CFO

Thank you, Patrick. I will start by commenting on the price environment in the third quarter versus the second quarter. Brent averaged \$69/b during the third quarter versus \$68/b in the second quarter, up 2%, but down more than \$10/b compared to the third quarter of 2024.

TTF averaged \$11.3/Mbtu million versus \$11.9/Mbtu, down 5% and the average LNG price decreased to \$8.9/Mbtu versus \$9.1/Mbtu, down 2%. On the other side, for refining, the European refining margin significantly improved to \$63/t compared to \$35/t during the second quarter, up close to 80%.

In this price environment, the Company reported strong financial results with third quarter 2025 cash flow increasing by 7% compared to the second quarter and adjusted net income increasing by 11%, thanks to the continued positive impact of the new accretive upstream barrels and strong downstream results that reflect the Company's ability to capture higher refining margins in Europe.

Overall, profitability remains strong with return on equity for the 12 months ending September 30 at 14.2% and ROACE close to 12.5%.

Moving now to the business segments, starting with hydrocarbons. On a year-on-year basis, third quarter hydrocarbons production exceeded expectations and increased by more than 4%, making it the Company's highest growth quarter so far this year. We anticipate that this trend will continue with fourth quarter hydrocarbon production expected to grow more than 4% compared to the fourth quarter of 2024, notably benefiting from the restart of Ichthys LNG in Australia.

Turning to the quarterly results and starting with Exploration and Production. This segment generated during the third quarter of 2025, an adjusted net income of \$2.2 billion, up 10% quarter-over-quarter in a similar price environment and outpacing quarter-over-quarter E&P production growth of around 4%. Similarly, cash flow growth was strong at \$4 billion, up 6% quarter-over-quarter. Importantly, our project portfolio is delivering new low-cost, low-emission oil and gas production that is accretive with an average upstream CFFO/boe that is roughly 2x the base portfolio. Regarding the E&P projects, we are progressing on all fronts.

On the project side, we achieved first oil at the Begonia and CLOV Phase 3 offshore fields in Angola, and we sanctioned Phase 2 of the redevelopment of the Ratawi oil field in Iraq, which is part of the GGIP project. As we have now launched all phases of GGIP, we are looking forward to the first oil for Phase 1 of the redevelopment early 2026.

On M&A, the Company is consistently high-grading its portfolio. During the last earnings call we mentioned that we are expecting several E&P divestments in the second half of the year. And during the third quarter, we divested two unconventional blocks in Vaca Muerta in Argentina, which closed this quarter, and three satellite fields in Ekofisk in Norway, out of our strict investment criteria, which is expected to close in the fourth quarter. And lastly, on exploration, we continue to reload the hopper to complement existing opportunities. And this quarter, we announced new license awards in Nigeria, in Republic of the Congo and in Liberia.

Moving to integrated LNG. Third quarter LNG sales of 10.4 Mt were essentially flat quarter-over-quarter as third-party purchases offset lower sales from equity production. Cash flow of \$1.1 billion was in line with the second quarter in a stable price environment with an average LNG price of around \$9/Mbtu. Adjusted net operating income of \$0.9 billion was down 18% quarter-over-quarter, primarily due to the planned turnarounds at Ichthys LNG in Australia that impacted production by around 50 kboe/d for the quarter. On the price outlook, forward European gas prices continue to be sustained at around \$11 /Mbtu for the first quarter of 2025 and winter of 2025-26 due to anticipated winter demand. Given the evolution of oil and gas prices in the recent months and the lag effect on pricing formulas, the Company anticipates an average LNG selling price of around \$8.5/Mbtu for the fourth quarter 2025. On the advancement of our LNG strategy, we are pleased to continue to grow our U.S. presence with the recent FID on Rio Grande LNG Train 4 in South Texas, and we enhanced resilience in our LNG and gas-to-power strategy by acquiring interest in shale gas assets from Continental Resources in the Anadarko Basin in the U.S.

Turning to Integrated Power. Net power generation increased 9% quarter-over-quarter to 12.6 TWh hour due to increased output from flexible generation capacity in Europe. The value of TotalEnergies' unique integrated model is illustrated in the third quarter financials. Total cash flow from operations was \$0.6 billion, up 9% quarter-over-quarter and in line with annual guidance. To provide more granularity in the Integrated Power financial performance, this quarter, we disclosed the split in cash flow between production assets, renewable and gas-fired power plants on one side, and sales activity, B2B, B2C and trading on the other side, showing that each contributed equally this quarter. During the third quarter, the Company has executed well on the farm-down side of its Integrated Power business model, which contributes to capital recycling and will generate a tailwind for free cash flow in the fourth quarter. The Company signed an agreement for the sale of 50% of the 1.4 GW renewable portfolio in North America and closed the sale of 50% of 270 MW renewable portfolio in France. These deals have a combined cash impact of around \$1.5 billion.

And in this deal, TotalEnergies retains a 50% stake in the assets and will continue to be the operator after closing and to offtake 100% of the electrons. This is in line with our business model. As an important reminder, our accretive upstream growth is not the only contributor to the Company's resilience. Integrated Power will take a key role in this too since it is a differentiated and growing cash flow stream that is outside of crude cycles and with strong demand fundamentals.

Moving to Downstream, as Patrick mentioned, during the third quarter, downstream efficiently captured the high refining margins in Europe and contributed to the Company's resilient financials. Third quarter adjusted net operating income of \$1.1 billion, was up more than 30% quarter-over-quarter. Cash flow of \$1.7 billion was up 11% quarter-over-quarter, thanks to good availability of assets that allowed us to successfully capture improved European margins. In terms of free cash flow during the third quarter, downstream cash flow from operating activities exceeded net investment by over \$2.5 billion. In Refining, the European refining margin marker strengthened during the third quarter due to the tension on the diesel supply chain in the context of low inventory. Utilization was 84%, which was towards the high end of the guidance range of 80% to 85%, and it reflects efficient operations and planned turnarounds at Port Arthur in the U.S. and HTC in Korea. In Marketing & Services, results remain consistently strong with high-margin activities, offsetting lower volumes. Looking ahead, we anticipate refining utilization of 80% to 84% in the fourth quarter, which accounts for scheduled turnarounds at Antwerp and SATORP.

Moving now to the Company level and starting with working capital. As expected, we benefited from a working capital release during the third quarter, which was a \$1.3 billion positive contribution to cash. Furthermore, for the fourth quarter, we anticipate another positive contribution.

On net investments, they meaningfully decreased to \$3.1 billion in the third quarter, which includes \$0.4 billion of divestments net of acquisitions. In the fourth quarter, as mentioned by Patrick, disposals are estimated to total \$2 billion including the closing of Nigeria and Norway divestments for Exploration and Production, as well as farm-downs of renewable assets in North America and Greece for Integrated Power. And we reiterate full year 2025 net investment guidance of \$17 billion to \$17.5 billion.

Based on anticipated net investments and working capital, we expect gearing to decrease to 15% to 16% at year-end compared to 17.3% at the end of the third quarter.

With that, Patrick and I are now available to answer your questions. And the operator, so please open up the line for questions.

QUESTIONS AND ANSWERS

Lydia Rainforth - Barclays

Two questions, if I could. The first one, can I just get your clarification on where we are on the tax issues in France. I've seen headlines this morning about tax on share buybacks, what that actually means?

And then the second one, I think, Patrick, this comes back to your point around the growth in production, which is obviously doing quite well, but also the growth in cash flow numbers. So, when you're thinking about 2026, can you just give us an indication as to how much more cash flow might grow than production for next year? And just remind us of that? Thank you.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Good morning, good afternoon, Lydia. Well first, as you observed, there is quite a big fiscal creativity in the French parliament these last days. And clearly, the full recipe will not work, and we don't know and so be careful not to overreact to the night news.

There was a super tax on multinationals, which is completely out of the rule of law. France has signed as many as 125 fiscal agreements with many countries. The principle is no double taxation, and this is very anchored, and as the government reminded the parliament, this is the right rule. We will not be touched by that.

And there is also in the constitution already some decision that when you want to tax above what is reasonable, then this type of taxations are not approved or are cancelled. So honestly, the political situation in France is not very stable. There is a huge debate, making a lot of noise. But I trust that at the end of the day, we will land to a reasonable value. And as you all know as well, TotalEnergies does not make a lot of benefits in France, so I would say we'll follow this debate.

But again, I'm comfortable with the fact that at the end of the day, government will take the right decisions to maintain, in fact, which is fundamental, what we call the supply policy. You know, before you redistribute in a country, you need to create wealth. You need to produce. We need to create results, revenues. And then you can speak about distribution, and we will come back to that.

I understand that and I think that this situation in France is weighing on the share price of TotalEnergies, but I remind you as well that we are a global company. And that again, largely 90%, 95%, I think, of our cash flows and our results are not coming from our country where we have the headquarters. So again, I think from this perspective, the profile of TotalEnergies is quite different from other French companies, and that the market should integrate it.

For 2026, honestly, Lydia, you are asking me a question to which I will answer more precisely in February. As we know we have a meeting for annual results and what is the plan for 2026.

As I told you in New York, we anticipate a growth of 3%, more than 3% for 2026 again. For the cash flows, I don't have all figures. Of course, it's related to the new production coming on stream. But part of the new production of 2025 like the Brazilian production will have the full effect in 2026. So I anticipate another accretive effect; the size of it, you have to be a little patient. But clearly, we are in a delivery mode. We delivered the production growth more than 3%, this year probably be next to 4%, in fact, at the end of the year 3, 3.5% to 4% for 2025, next year at least 3%. And then let's deliver the accretive cash.

This is a roadmap, not only 2025, 2026 but for the next five years. And we reminded you and we, I think, gave you comfort during the New York presentation that we will deliver this \$10 billion of additional free cash from all our segments in the next five years.

Michele Della Vigna - Goldman Sachs

Congratulations on the strong growth. Two questions, if I may. First, I was wondering if you feel like you're able at the moment to capture the extraordinary refining margins we are seeing, and how the improvements to your Port Arthur and Donges refineries are progressing?

And then secondly, I was just wondering what you're seeing in terms of disruptions of the Russian volumes following the latest sanctions and if you start to see an impact on the physical market through your trading and optimization division? Thank you.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Thank you for this question, Michele. To be honest, when I read again our press release, I think we are a little bearish on the oil price and the refining margins. The refining margins that we captured since the beginning of October for the last month is around \$75/t. When we guided you it's above \$50/t, I think we were a little shy.

And in fact, it's fundamentally linked because we begin to see real impact in the market of these last Russian sanctions. I think the market is underestimating what it means when you have U.S. sanctions, two large Russian companies, which are at the core of trading Russian oil, by the way. And when Europe says that we are targeting countries which are considered, dangerous like India, Turkey and China. But if you trade oil or products from these countries, you could be under sanctions. The reaction today in the market, and I shared some views with some of my colleagues, I was in Riyadh last two days, including trading houses as well, are more cautious. And we see that everybody is taking this risk very seriously, including secondary sanctions, which might become. And so, I see some impact. And I think the refining margins today instantaneously is more around \$100/t than the \$75/t, which is an average. And it is linked clearly to these sanctions, it will oblige to reroute some volumes and to find a way to bring products and crude oil more expensively to the different locations of the planet.

I think this is clear. That also could have an impact on the crude oil price. We've seen a reaction whatever announced. Today, it's still \$65/b, but \$65/b, I think, is a good assumption for this quarter, maybe a little more, more bullish than what we wrote a few days ago because I begin to realize that these sanctions will have a real impact in this market. And most of the players are taking them seriously which is good. TotalEnergies, we stopped trading any Russian oil since end of 2022. Somewhere we penalize ourselves compared to other practices. But I think it was the right way to comply and to be strict on the Russian sanctions.

Capturing the refining margins, for sure, the good news of the third quarter is that we managed to do it. We had a turnaround in Port Arthur, which is done. It's fully back online now. Donges as well is running. Not fully, not the last equipment we are waiting for by the end of the year, but it's running. So we deliver results. The fourth quarter, we have two turnarounds, one in Antwerp, one in SATORP, which are two big machines in our results. But I would expect that this will be compensated again by the other assets and by the fact that the margins are higher. I'm positive. And when I gave you a guidance of \$27.5 billion to \$28 billion, I was maybe too bearish by stating \$27 billion in New York. It's because as well I integrate these elements, which again and the duty and all the organization of refining chemicals

and Vincent Stoquart are dedicated to capturing these margins, which are good. This is where we are, and I'm bullish on that.

Douglas Leggate – Wolfe Research

I wonder if I could start with your upstream margin. The volume guidance is, again, pretty strong for Q4. But I guess what we're observing is that your upstream margin seems to be moving up as well as the volumes. And I'm trying to understand what happens as the mix changes going forward. So, for example, Iraq never historically had great margins. So how do you see the margin mix continuing as the growth trajectory sustains over the next several years? That's my first question.

And my second question, if I may, is a quick one. Oil appears still to be in a very technical market. So, we all see the oversupply, but it seems to keep bouncing around that \$60 level. I guess my question is, if you ended up with better cash flow than you thought when you reset the buyback, what would be the first call on cash? Would it go to the balance sheet to continue deleveraging? Or would it go to the higher end of the buybacks?

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

The second question is clear. It will go to the balance sheet. The second answer, I would say, is clear. It'll go to balance sheet. It will go to the balance sheet because I observed that, and I have spent quite a lot of time with investors in the last month, long-term investors, deleveraging balance sheet is important for all of us. And the best buyback policy would be to be counter-cyclical. To be counter-cyclical, you need to have a strong balance sheet. So that's the position I would take and keep. So, consider the guidance we gave you, we gave you quite a good guidance, and we told you \$0.75 billion to \$1.5 billion between \$60 and \$70, \$2 billion at \$80. And I'm answering for 2026, to be clear. If we continue, and we see the plan, to deliver more and more free cash on the roadmap to \$10 billion, then we might revisit this scheme. But today, in 2026, if it's coming, in your case, if we are above \$60 in 2026 or above \$70, then we will continue to deleverage.

Upstream margins: no, Iraq is a good contract. I know historically, but it's not at all the case. I told you, we are far away from the historical service contracts. When we came back in Iraq, it was clear that either we had a good contract, a strong contract, it was a matter of risk and reward and in particular, the Iraqi contract is quite reactive to the oil price. We capture some upside on it, which, of course, is important. We benefit in Iraq from quite low-cost production. So the breakeven is low. And so, it will contribute. The Iraqi barrels, don't make a mistake, are contributing to the increase, are accretive. And again, I can give you, but I think we gave you in New York that in fact, the base barrels are at an average around \$19 - \$20/boe. And today, these new barrels are more between \$30/boe and \$40/boe. So, it's why we have an accretive growth in upstream. I think you will continue to see, again, the free cash flow from upstream will move quicker than the growth of production.

Biraj Borkhataria - RBC

Firstly, nice to see that production growth being here and the accretion coming through. That really is a differentiator. Two questions. The first one is on the divestments for the year. I know you mentioned Nigeria in the \$2 billion. I believe there were two deals that you're planning to do, one of which wasn't approved. So could you just outline whether the SPDC side, that sale was in the \$2 billion, or is that on top of the \$2 billion?

And then secondly, recently, you signed a letter with a number of other CEOs around European competitiveness. I was just wondering if you could talk about whether that letter has actually catalyzed any kind of response on the policy front? Any color there would be helpful.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

First, on divestments, I will be very precise with you. The \$2 billion, I will give you where it's coming from. We intend to close, and we have already closed some of them, but we are intending to close. And all I think we have signed, and we are in the process of closure. The Bonga divestment in Nigeria, Norway, the satellite Ekofisk fields, some renewable assets in the U.S., renewable assets, which we announced in Greece, and as well we have another project where we will, but I cannot yet disclose to you guys, another \$300 million, which will be announced soon.

It's a \$2 billion. This does not include, to be precise, the SPDC JV divestment, not only because it was not approved, but because we were not able to close. There were some conditions precedent on our side. And we considered that it was not reasonable to close with, I would say, the supposed buyer. We have relaunched, not relaunch, we are discussing today. We have advanced discussions with two additional, two new buyers, which are, I think, serious ones. But we will not be able to be clear to answer your question, to close it before this quarter. It's for next year. By the way, it's good because it's part of the plan for next year. From this perspective, what we have observed is that divestments of E&P assets generally take time. It takes more time even if we have demonstrated with our divestment in Argentina that we were able to sign and to close in the same quarter. So sometimes it's going quicker. The plan is clear. We will, and we have some interested buyers and serious buyers on it. So we are working on this one. There are, like I mentioned to you, other ideas for this year and next year that I mentioned in New York on which we work as well.

On the European Competition letter, the answers... You probably follow that via some tweets or LinkedIn, European leaders are listening to our request. We had some calls with some discussions with some European commissioners who took the letter seriously from 40 CEOs, to say, they probably understood. They think we are maybe asking them too much, but I think it's a sort of wake-up call from these 40 CEOs. We, myself and the Siemens CEO, we are the spokesperson. Let's be clear, we were just reflecting what people expressed during our meetings between French and German CEOs. I've seen that on some topics, which are, I would say, giving some more polemics, there have been some calls that were not only from European CEOs, but from U.S. Energy Secretary and Qatar Energy Minister to call to revisit some of this legislation, which seems to be, in fact, against competitiveness. And again, for some of them putting at stake the security of supply of Europe.

I think this is something which is serious. And we are European CEOs, and we, of course, want to continue to contribute to Europe development and growth. But to do it, I think it's also our job to speak up when we consider that conditions are changing and might be difficult for us to contribute to European prosperity. It's a moving, it's a continuous fight, but let's contribute to it.

Martijn Rats - Morgan Stanley

First of all, what I thought has been sort of really surprising this year is the strength of new LNG FIDs. Already one year, 1.5 years ago, many of us were writing reports about the surplus in the LNG market in the second half of the decade, and yet 2025 has been a near record year of new LNG capacity to be commissioned. And TotalEnergies still has a few projects that needs to decide on. I was wondering if you perhaps could share with us your thoughts on, despite the outlook, the number of new FIDs being as strong as they are and also how it impacts your own decisions in terms of future LNG FIDs?

And the second one I wanted to ask is about the shares and the equivalence between the Paris shares and the U.S. shares and so consolidating this into one single class of shares. I was wondering if this could impact the execution of your buyback program in the sense that I was wondering if this is in place from December 8th onwards, as I now understand it, if some of the buyback program could be executed in New York listed shares. And of course, the context behind the question is then also if that could then be a way to avoid some of the proposals that have creatively been floated as I think you put it in the French parliament over the last couple of days.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

The second question on ADR. No. It does not impact at all the execution of the buyback program. I remind you that the ADR conversion is about around 9%, 10% of our shares. So obviously the buyback program will be executed on the Paris stock market to be clear. And not on the New York listed shares because it will be strange for us to buy back from New York where we want on the contrary to give more life to the New York market.

So I prefer more activity and finding more, we will buy back shares in New York when we will have much more active shares on this side of the Atlantic, so first point. And honestly, it would not avoid in any way tax proposals. And again, the tax proposals are funny proposals. Again, there are some principles.

When the President Hollande tried to impose a 3% tax, extra tax, on dividend, which was canceled by the European Union and by the French Constitutional court. And all of us have recouped the money they took during three, four years. So again, there are some principles. We are in a rule of law continent and a rule of law country. And this is the reality.

So you must make a split between the political debates which are quite vigorous and creative, and the reality of the rule of law, and we know that there are some limits. And when I see the figures, and I will tell you what I'm thinking, the higher it is, the better it is because then I'm sure it will not go through the system. So that's the reality. In French constitution, you cannot deprive people unreasonably from their profits and their results. And buybacks are not at all a profit. Buyback, it's just a matter of distribution. And by the way an investment in the Company. We invest in the Company. I mean I'm ready to continue to explain to parliament members what buybacks are. But I think, don't overreact to this type of news. And I'm afraid we'll have other news during the next 30 days coming from parliament. At the end of the day, I trust the government.

On FIDs, I'm not sure, there was a lot of announcements. I'm not sure about how many FIDs exactly because between the announcements and you have a flow of news, of projects being revived because they get the permitting, or they gave the approvals for non-FDA countries export from the U.S. administration.

So you have a news flow coming. Then FID, I know Train 4 and 5 [of Rio Grande LNG] in Next Decade, yes, I know them. I know that one or two competitors are serious and are progressing because as I said in New York, all these projects

need to find the financing. And good financing, not an expensive one. Otherwise, you destroy the value. On Train 4, we managed to put in place a project financing at Rio Grande Train 4 around 6 - 6.5%, which was good project financing, which helped to leverage on it.

Other projects might not have the same good financing as Rio Grande LNG. So then, of course, I agree that we need to take that into consideration. We have a strong policy, a clear view. We decided to transfer most of our exposure to the JKM, LNG spot market, to the Brent formulas, and we have been active. I think we are very right to do it. I'm more bullish on the oil price, as I explained that on this one by the end of the decade.

So of course, then we need to assess and to take that into account. We postponed Cameron Train 4 because the Capex were too high. It's not time to run again on Cameron Train 4. And the other decision we have, in our portfolio is Papua New Guinea. You know that we are working on the Capex, to lower the Capex. And it's clear that lowering the Capex is of utmost importance in a market which could be, from this perspective, weaker when we launch the project. So that's a topic on which we will have to work. And we have demonstrated already that we now have to be disciplined in that market, giving priority to, first and second quartile projects in our portfolio. And that's an element which will have to be taken in consideration.

By the way, we have announced that we lifted the Force Majeure on Mozambique. There is a funny figure, which is in some press news agencies, which speak about \$25 billion. We are not at all there, and I want to be clear and strong on this news. I don't know, people are playing games, which is not acceptable. Some people have relinquished a letter that I sent to the President of Mozambique. It's clear, it's written \$20 billion in the letter, out of which \$4.5 billion came from, what we spent in the last four years. So the budget in 2020, when we left in 2021 was around, it was approved \$15 - \$16 billion. You add \$4.5 billion, you are down to \$20 - \$20.5 billion. That's the reality of this budget. And by the way, this cost, very real cost, what we've done is all the detailed engineering and all the procurement.

So today, as soon as we fully remobilize everybody, we are purely in construction mode. And that's why we said we are able to deliver the project by 2029. I've discovered some people were surprised. But in fact, we spent some money in order to recapture part of the time which was under Force Majeure. So the budget is not a total \$25 billion, and I want to be strong, it's \$20 - \$20.5 billion as we will restart.

And again, I can confirm it because we had long discussions, of course, with contractors. We have put all these figures together with them. And including on the delivery in 2029, we have strong commitment. We have realigned the whole system in order to be able to execute properly this project.

Kim Fustier, HSBC

A couple of weeks ago at an industry conference, you mentioned that the LNG market is getting more competitive and it's harder to make money in trading. I guess that's not exactly a secret, but I was wondering if you could provide any more color on this. And I was wondering how much of the decline in LNG trading profits would you ascribe to heightened competition versus the more normalized conditions, lower volatility, lower spreads, et cetera?

And then I also wanted to come back to the EU sustainability rules. I mean I suppose let's see if the EU rules could be amended, but if they broadly stick, then how would you ensure compliance with the CSDDD [Note: Corporate Sustainability Due Diligence Directive] rules in practice? And then hypothetically, what would be your options if some LNG supply is deemed to be noncompliant, would you be able to redirect it?

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

First question. I think we made a demonstration in New York; the message is not that we have a decline of LNG trading. We told you that there are exceptional trading profits in 2021, 2022, 2023 and that we are back to a normal environment with lower volatility. And that by the way, the results of 2025 on Integrated LNG are in line with 2024.

We don't benefit from the growth at this stage. Later, we'll have a growth of volume, but this stage is stable. And in fact, they are quite related to the results of 2019 before this crisis. What is also true is that you have observed like me, there are more trading houses, which came to this LNG business because maybe they were considering we were making good money.

But today, answering your question, my view is that, we came back to, more standard revenues. And I hope, of course, the main growth for LNG trading profits for TotalEnergies will come from the growth of volume of assets. We will have a volume impact on our trading business, which will generate additional profits. And we made a mistake when in our plan in 2025 because we were thinking that we could replicate the last quarter 2024 in full 2025. It is not the case. Because that's clear that the volatility in 2025 from the gas, the European gas price, moved between \$11 and \$12/Mbtu. It's not a big volatility. By the way, I'm not unhappy because \$11 or \$12/Mbtu for my Norwegian gas and my British gas and my Danish gas, it's a very good price.

We should not give an overweight to the trading business. Trading business is adding value, but the base business is in fact, our upstream and our production. I prefer to gain \$12/Mbtu of profits on my North Sea gas and maybe a little lower volatility on the trading. Maybe because there were exceptional years, incredible years, 2022, 2023, 2021, you considered it was the new normal. We never said it was a new normal. We even told you, be careful. There were exceptional results each time. So that's what I want to comment on. And again, I remind you and why I'm linking back to our growth volume is that the trading within TotalEnergies is trading around assets. It's an asset-based trading. We don't play casino; it's not the case. So that's the base of what we do.

There are more competitors. But again, we have more assets than others. So it will help our trading business. And I think this is the idea. This is fundamental idea of integration. It's because we have more assets, more volumes, that we have more medium and long-term contracts in Asia. What we signed in the last year, the brand-related medium- and long-term contracts offer some optionalities to our traders. And the optionalities that we introduce in these contracts have a value. And this is why I'm linking that to my assets and my business. This is the base of it. And some competitors do not have the same assets and contracts.

Then about the competitive sustainability rules, the question is not to have LNG noncompliant, the CSDDD does not define compliance. The CSDDD is a matter of putting in place some rules, but you have to have a duty of vigilance on the supply chain. Some countries have been strong in the letter. I invite you to read the letter of the Secretary Wright and Minister al-Kaabi, if you didn't read it, they send a letter to the European leaders to tell them: if you keep that in place, we will not deliver, we will not take the risk to deliver LNG to Europe.

If we don't have LNG coming neither from the U.S. nor from Qatar, my European North Sea assets are taking a lot of value. It's not a matter of complaint. It's a matter of legal risk because, in fact, why you may complain is that in this CSDDD, if you were found guilty by a judge, your penalty could be up to 5% of your worldwide turnover, which is just crazy. The sanction size is completely disproportionate. Of course, we are for human rights, but you can ask efforts to a company to control the supply chain, but we don't control everything. But if you transform a supposed not enough vigilance in such penalty risk, then it's completely disproportionate. And this is a call coming from these two countries.

And I consider to be honest, that what when we produce LNG in the U.S. as we are the largest exporter of U.S. LNG, we are fully compliant with the duty of vigilance law with all what we produce in the U.S. In Qatar as well by the way.

Matt Lofting - JPMorgan

I wanted to follow up on your earlier comments on the refining portfolio, 80% to 84% utilization in the fourth quarter looks towards the lower half of the historical range. Obviously from a near-term perspective, planned turnarounds and maintenance need to be done and undertaken. But when you look forward into 2026, how do you see the normalized throughput of the business now? And has there been any deterioration in that normalized level versus what you saw and how you saw it, say, two, three years ago?

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Maybe we are cautious. Again, we were cautious on the \$50/t. Maybe the 80%-84% is just as I told you, we have Antwerp and Satorp, which are two big machines which have entered into a large, planned turnaround, so they execute. But of course, it has an impact on the global delivery from our portfolio.

Let's say, if you take 82%, this quarter I think we were at 84%. Maybe 82% is probably the mid-point of the guidance, probably the right one to take into account. But I told you that it will be more than compensated with capturing better margins on all the other assets.

For next year, we are more in the range of 84%-86%, I think, for our budget. But again, I didn't begin to look at what our colleagues are planning. I'm waiting to see, but I think there are less turnarounds next year. We should have, from this perspective, it should be a better year. And as well, as we mentioned to you, there were some difficulties before the turnaround on Port Arthur, turnaround is done, we expect to have better availability. And on Donges again, we intend to put into service these new units, which will enhance the margins on Donges by beginning of 2026. From this perspective, if the refining margins remain at quite a good level, we will be able to capture them and even more than this year.

Irene Himona - Bernstein

My first question is on marketing, if I may, because your unit margins were up this quarter. And I wonder if you can talk around the drivers of that margin improvement, whether it is structural or temporary?

And then my second question, I noted this quarter, you signed some partnerships on the deployment of AI and a global data platform. I obviously don't have the context of your ongoing digitalization effort. I wanted to ask whether it is correct to look at these partnerships perhaps as an effort to speed up and widen the digitalization you have been working on for a number of years.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

I'll take the second question, first. As we told you, yes, and I think it will be a topic on which we could focus more on what we are doing. In fact, since 2020, we have put in place a digital factory in a bottom-up approach with 300 data experts or data scientists and at a very high level, a good team. But what we observed is that if we want to deploy these new technologies, which are speeding up on a worldwide basis, going from a bottom-up to scale up is difficult.

We decided that it's time now to have a broad effort, a worldwide effort on organizing all these data because there are plenty of data on platforms and in refineries, but all that is not connected. And if you want to really, for example, enhance your linear programming in refineries, the best would be to have access to all this data to develop new tools in order to enhance another additional percent of usage of the refinery and better margins.

We have engaged in two large programs, which are quite an investment, an investment on the platform with Emerson, which is called Inmation™, in order to connect all these physical data to a large database - all physically - and it will take 2.5-3 years to deploy because we need to go on all the sites. We know where the data is, but we need to connect them and then they will be available. And we have also engaged in a very large worldwide program on the E&P side with Cognite, which is in advance from digitalization, and we have made some different pilots with them. Now we are all convinced. Another big program to deploy this Cognite software, which obviously will help us to really accelerate the use of AI.

For me, 2025 will be the year where we have really decided to scale up and to take some large programs worldwide to give us the capacity to take the most of these new AI tools. It will take a few years to install all that. But if we want to be efficient, it's not cost cutting in our case. It's more additional revenues. If I can, with advanced process control tools, thanks to AI, produce 1% more of all my oil fields and my refineries, I can tell you, it's quite a lot of free cash. It's worth making the investments, and this is what we have done.

On marketing, so I think there is different drivers. But again, fundamentally, the strategy which is put in place in marketing is value over volume, which means not chasing the additional growth, even it's difficult for marketers. They love to show you more tons. But what we discovered is that it's quite mature markets. They are mature markets. The European market is mature, the lubricants market is mature, it's very difficult to gain market share.

The only way to do it is to do it at the expense of margins. And what we have decided is to enter into a policy, which is a bit higher margins and not less volumes but not to sacrifice the margins at the expense of the volumes. And this is why, if you observe our results, we have sold our network in Germany and Netherlands and half of Belgium. There is not much impact. In fact, because we have managed to absorb it.

It's also because fundamentally, in marketing, we have decided to divest or to stop a business, which was very low margin, which was sharing some logistics assets, which we were creating a lot of pass-through volumes, but with a minimum margin. This has been reduced because it was not really adding money. It was quite using a lot of people.

The answer to your question is that structurally, we are in a mode of enhancing the margins on Marketing and Services. That's where we are. And this will continue. I hope I'm clear.

Christopher Kuplent - Bank of America

Patrick, I wonder whether we could talk about another area of French creativity. There is an idea floating around that we should remunerate electricity or wholesale power prices differently. What can you tell us is current appetite for signing new PPAs? How has that market evolved considering that rather interesting regulatory backdrop? You've recently signed a project deal with RWE in France, but also have some considerable Capex left to go in Germany on the offshore wind front. So maybe you can put things into context and give us the risk reward behind taking that regulatory risk.

And then you've mentioned it already. I just wondered whether you could give us an update on how quickly we should expect news from Mozambique on the ground now that the Force Majeure has been lifted

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

On Mozambique, we have lifted the Force Majeure. We are now expecting the government to approve our new plan and budget, and we are remobilizing the contractors in order to be able to execute the project within this schedule with work timetable of 2029, and that's where we are. So, I think consider we are moving on.

On the first question, it's a complex question because I'm not sure to have fully understood. Let me be clear, I'm not in favor of regulations and regulatory approach. We are more merchant people. We like merchant markets.

For us, that means that signing PPAs is the best way to commercialize our assets. And in Europe, you need to sign when you develop, I think you were referring to offshore wind. We signed a contract in France at €66/MWh, which is a contract, by the way, in which the price can be adapted if the Capex are higher. The Capex risk is, in fact, covered because not only we have given the price, but the Capex linked to the price. So, that's a protection. It's also partly inflated through the Opex.

At this level, honestly, we can develop an offshore wind project in Europe because it is a project where, in fact, the connection is developed and paid by the TSO [Note: Transmission System Operator], not by us. We are only in charge of the plant itself. But again, we follow that.

I think today, there are many creativity there again in different circles. All that, we are in a European market, European market, is a unique European market, which is fundamentally driven by some market rules, in fact. When I discuss with European authorities, I see little appetite from the commission to put into even in some countries like Germany, we believe in the market to change the rules of this electricity market.

And you know by the way, in France, the same people who were complaining about the famous system of nuclear commercialization, which was called ARENH [Note: Accès Régulé à l'Électricité Nucléaire Historique] two years ago, now are complaining of the new system.

People will never be happy. What they want is electricity for free, but that's difficult. At the end, we need to invest. And if everything is too much regulated, it will be against investment and Europe desperately needs to invest more in renewables, gas-fired power plants, grids if we want to ensure our security of supply, that's the reality.

You can't have both. I think I would say I trust here again the political leaders, which are spending a lot of time on this energy story to take the right decision and not to be complacent.

Lucas Hermann - BNP Paribas Exane

Thank you, an another slightly generic question, but I just wanted to ask for your sort of thoughts on the one part of the complex, which is really having a difficult time, chemicals, and the extent to which when you talk within, when you look at the industry, look at where margins are, you're starting to see any better signs of movement to try and restructure not necessarily your own business, but in a business across the industry, so that we might actually move to a place where profits start to improve.

And as ever, I mean if you could give us some indication of the extent to which the associates line within, well the profit, within the Refining and Chemicals business, what proportion of profit actually comes from chemicals now given just how difficult the environment is?

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Okay. We are not a chemical company. We are refining and petrochemical company, and we make crack ethylene and polyethylene basics.

But just to tell you, the truth is that you know the situation, the situation is that, in fact, in terms of cracking capacity, ethylene capacity, China in the last five years went from 50 Mt of cracker to 100 Mt of cracker. And so they are, in fact, almost self-sufficient. So, they are moving from a large importing country to almost self-sufficient, even exporting.

So of course, that changed the world patterns. By the way, Chinese companies also suffer from the situation, but other places suffer from the situation. For me, I've always been very clear with you. If you want to invest in petrochemicals, you have the fundamental competitive factor is feedstock. Either you are an ethane, cheap LPGs in the U.S. or in the Middle East, or you will face difficulties. So that's the situation. So, we know that our naphtha crackers in Europe are facing competition, which is super difficult, either from the U.S. crackers or from Middle East.

By the way, TotalEnergies, since I'm CEO, we have invested in two crackers, one in Port Arthur with Boréal, one with Amiral in Saudi Arabia. I am consistent with that fundamentally. And we are shutting down some crackers like the one we have just decided on in Antwerp. So that's my view.

To come back on the proportion, I don't know it's not big. It's not good. I have no miracle recipe compared to my competitors on this one. But again, it's not a major part of our downstream results and cash flow. So, most is coming from refining and trading, more than chemicals. But again, it's part of the integration. When the margins are good, we are happy to capture them. But again, the fundamentals, let's invest in the U.S. and in the Middle East. That's all.

Peter Low - Rothschild & Co. Redburn

The first was just on Integrated Power. The ROACE has been below 10% for a few quarters now. How confident are you of hitting your 12% target? And really, what are the steps to get it kind of up to that level over the coming years?

And then perhaps just a follow-up on the kind of proposed EU ban on Russian LNG imports from 2027. I think you said in the past, you'd expect you'd be able to divert your Yamal cargoes to alternative markets outside of the EU. Is that still the base case? And what do you expect to happen?

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

First question, I think Stéphane Michel in New York gave you some answers to that. We never told you we will hit 12% tomorrow, we told you it's a five-year plan going by the way from 10% to 11%, from 11% to 12%.

Part of it, as I told you, is that today, we have a sort of burden on our capital employed because we have, I mean acquired a large pipeline of projects, which are, of course, non-productive capital employed assets, which will be, because we continue to grow, we have growth of 20% per year, and we will execute, which will, of course, as we don't intend to make large M&A on this part, not which will transform, I would say, nonproductive assets into productive assets. So part of it is there. That is 1% then the second part, the other 1% will come from rationalization, better use of the assets, industrialization, and this is what we are doing.

We also, I think, framed in New York a clear roadmap by concentrating most of the investments of Integrated Power on some major markets, the Oil & Gas countries, which are in E&P. And then the rest, we are clear, but where we don't see potential to contribute above 12%, there is no future for them in the portfolio. I mean in a way, what we told you, it is a recipe to go to 12%.

So honestly, today, we are a little lower than 10%, but we will recover from it. And don't forget that the contribution from farm-downs, they will come in fourth quarter. So, all that will give you color. But we will raise the 10%, and it's a five-year journey, but I'm happy with the development of this business. The next target is to be for me net cash positive. As soon as we are net cash positive, I'm sure that the valuation of this part of the business will be better because when I will tell you, this business is contributing to your dividend, it's a way to have a better leverage on this business. And we plan 2028. If we can do 2027, we are working on that.

EU ban on Russian LNG, honestly, there has been a new regulation, which needs to have some clarification because there is some language there, we need to understand what it means exactly. Like by the way, when EU banned oil in 2022-23, it was the exact situation, there was a regulation, and the LNG regulation is copy paste of the old one. There was what they call FAQ where you need to have answers to clarify what is the real scope of ban. For sure, the ban is not going to more, any more Russian LNG in Europe, but we want to be sure that the ban is not larger than that. So before to answer your question. And otherwise, yes, in this case, we have a commitment. If there is no further ban, I cannot choose a Force Majeure to cancel the contract. If I don't have Force Majeure, I am committed to offtake some cargoes.

We are looking to that, precisely today, our lawyers are working, to be honest because, of course, for us, the rule is to be sanction compliant to be clear. So our lawyers are working on it. It's a fresh regulation, so I don't have the full clarity. And I don't want to be answering longer because I could say something which could become wrong if the lawyer. Again, we are always at the Executive Committee, on the cautiousness side, from this perspective. And so, I'm waiting to see their report and to understand exactly the scope of the new EU regulation.

Paul Cheng - Scotiabank

Two questions. I want to go back, Patrick, in your answer to the question of adoption of AI, it seems that you're spending a fairly sizable investment. Can you quantify how big is the investment over the next couple of years and whether you have sufficient talent within your organization to really adopt or that you need to go out to hire? And at this point, it seems like it's pretty difficult to get the good talent in the AI adoption area. And what is your target in that what you aim to get from AI over the next, say, call it, five years?

The second question is on Iraq. Can you tell us how the situation is on the ground? I suppose that the security is good enough for you to deploy your people. So, what's the bottleneck or the barrier for Iraq to significantly increase their production at this point? You and some of your peers that are rushing in and signing contracts. And if you think that those contracts, the terms are good, is there a concern that Iraq could turn into a major production growth area, which in turn is going to depress oil prices over the next several years? So just want to hear how you think about that.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

First question, AI, the program I mentioned represents more or less €300 million, so \$350 million, I would say, worldwide. So, it's quite an investment for these data platforms at the worldwide level, first comment. Second comment in terms of people, we have some assistance from the Emerson guys, AspenTech or from Cognite. But remember that we have a digital factory with 300 people. And of course, we are using part of these people to help to deploy the program. They are there, they are available. They know about it. We have built these competencies in the last five years, the second answer. The third answer is that there is a nice country in order to get access to good AI competencies with not so high cost, which is called India. So, it's also a way for us to, in fact, grow in the digital.

For us, we are looking today, we need to grow our technical competencies and in terms of people to have more resources in the side of electricity, of power, and in the area of digital. And today, we are seriously thinking to enhance or to grow our presence there, and we speak about, we are discussing about competence center in India. It's part, by the way, of our way as well to contribute to the cash saving program that we mentioned. So, this is the area. So, I know it's a point. But in fact, what I've observed is that we have been able to attract people in this field with a reasonable price because we offer them some real use case. We have very interesting use cases. In the field of energy, you can use AI in many areas, so it's good.

Iraq on the ground, it's okay. We just signed the full contract EPC contracts. If we were at doubt, we would not have done it. Honestly, in the Basra area, the situation is good. I can speak only for the areas where we are. And we have deliberately located our teams in the south of the country, in the Basra area because it's a more, I would say, unified area in Iraq. There are other areas that I would be more careful to be clear. But in our area, we are fine.

The barriers? The barrier partly is still security because what I say for Basra is maybe not true for the whole country, to be honest, and it's not true. And second, in fact, you need investment. And investments, you know the issue for Iraq, and again, I'm happy to have been the leading company which came back first. But we went there in 2021, we finalized the contract in 2023, we have FID-ed all the phases in 2025, and we'll produce in 2028-29. So, the cycle is eight years. So, I think we are maybe a little slow, I'm not sure because I can tell you that it is, from my point of view as a CEO, quite a remarkable journey in a new country. So, I'm very happy with all the work the teams have done.

I contributed myself by supporting them many times there. So, when people think today that, yes, there is a potential in Iraq, it's clear, but it will not depress oil prices before many years. So, it's good for the country. And again, I know what will happen if there are more companies to come, the temptation will be to decrease the margins. And then again, it will not work. So that's the history. I hope the country has taken some lessons of what happened from 2010 to 2020. If we don't have the right reward for the risk we take, there is no investment. So that's a question of capital allocation.

So yes, and that's why, by the way, to answer to your question, to be clear, if we decided to move to come back in Iraq in 2021, because we see quite a long perspective. And in my plan, in my view, Iraq will be a growth area for TotalEnergies beyond 2030, and we will work on other projects. That's what I'm thinking. So, I don't see an impact on the short term or short medium term.

Henri Patricot - UBS

Just two on the topic of exploration. I think you have a new Head of Exploration since the start of the month. And I was wondering if we should expect any changes in how you approach exploration? And also on that topic, can you give us an update on the latest plans for exploration in Namibia and South Africa in the next few months? Thank you.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Exploration. I've been consistent since I'm CEO, I think there is one thing which did not change, which is the budget for exploration. It was \$800 million to \$1 billion. I put it as a sort of rule of the game when I became CEO because strongly, it's not because you spend more that you find more. At a certain point, you need to be efficient and oblige your exploration team to make choices.

I'm happy with the way Kevin has led this team during the last 10 years. He became exploration manager and myself CEO almost the same time. He has developed some ideas. Ten years is a long cycle in exploration. So when he told us one year ago that he aspires to do something else, it was fine for us because we thought it was the right time to renew, in fact, having a different approach because, again, exploration is a different business. Again, it's not a matter of dollars, it's a matter of ideas, of ways to approach.

I'm very happy to have welcome in the Company, Nicola Mavilla, who is coming from a successful exploration company. He has, of course, himself been educated in different environments so bringing new ideas. I told him that he's free to do and to lead the team. It's not a one-man-show exploration. It's a team building, with quite a lot of people. You need to take the risk to explore, you need to build some consensus, but, you know, you can drive your people in different directions in terms of concepts and being creative. I think it's very good. I hope and I'm convinced that Nicola will be able to have the same success that we had with Kevin in the last 10 years. But it's not a matter of money. It's a matter of ideas and then to make choices. And by the way, you notice that in the last quarter, we have been active on taking some licenses back in Nigeria, which has been unexplored for more than 10 years. It's a pity. It's probably the most – Niger Delta is probably the most prolific delta in Africa. So no license were awarded. We are happy to have the first ones to IOCs. We went as well to countries like Liberia – it's a new one. Congo, is more mature, but we managed to get a license on which our explorers were excited. I hope that we will find. We'll have a nice gift for Christmas, we'll see. And again, we'll continue to explore in other countries.

And so exploration, I heard during my roadshows that it seems that some companies are rediscovering exploration. For TotalEnergies, we never give up on exploration. I always considered it as part of the value creation. And again, listen to my colleagues, it's not because you spend more that you will find more. If you spend more, you take more risk. And if you take more risk, you have more disappointing wells. It's a question of finding the right metrics. And I think it's good for an IOC, a major like us, when we can drill 20 - 25 wells per year, that's good. That's enough to find some nice wells.

Namibia, South Africa; Namibia, you know that we have some exploration to continue to do, and we look to priorities also to develop Venus. And South Africa, you follow like me the news. There is a legal context which seems to be more complex than in other countries. If each time we want to drill, we need to go to court, it's a little difficult. But I think that the South African government has made some public statements that they want to find a way to ease the exploration. We hope we will manage because, of course, for us, it's important. We cannot explore, we cannot spend money in a geography, if we have to face courts permanently and the permitting becomes really too complex.

And because it's not only drilling one or two or three exploration wells, then it will be to develop. And we explore to develop. We don't explore just to find oil. We need honestly, on the South African side, I hope the government will take the right decision as soon as possible.

Jason Gabelman - TD Cowen

I wanted to ask firstly on Capex trajectory. And it looks like organic Capex has been a bit volatile the past few quarters. I'm wondering what's driving that quarter-to-quarter volatility. We've seen some other peers that have more stable Capex that kind of peak in 4Q. So, wondering, moving forward, is this level that you're at now a better go-forward pace to consider? Or should we expect more volatility quarter-to-quarter?

And then my second one is just on the ramp-up in production next year. You've previously guided to a reduction in reinvestment rates in 2027, which I suppose, implies higher cash flow ramping at some point next year along with new production coming online. So how should we think about that production and cash flow ramp next year and into 2027? Is it back half weighted? Is it 4Q weighted? Just looking for kind of the arc of that growth.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Jason, you are very quarterly driven there in your questions. But my commitment to you is the commitment of the Company, it is the annual budget of Capex. And by the way, it's an annual budget of net Capex. It's organic Capex plus acquisition minus sales, minus divestments.

I think we have a long strong track record of being compliant with our annual budget of Capex. I think since I've been CEO, I think, 10 years in a row, you don't see that we have not respected the annual Capex budget. And again, what we told you today, and what we said at the beginning of the year, it will be \$17 - \$17.5 billion. And I can tell you, we'll land in \$17 - \$17.5 billion. As we told you that the net acquisition is expected to be at \$1.5 billion. You can calculate yourself the organic Capex for the fourth quarter. I don't follow honestly the stability of the organic Capex through quarters. It depends on some projects when you put into production as we have done this year, all Mero in Brazil, Tyra in Denmark, Ballymore in the U.S. This means that this quarter, there was a lot of Capex and then it's decreasing because you have put into production and some of our Capex, some of our projects are ramping up.

I have no KPIs to have a stable quarterly organic Capex, to be honest. At the end of the day, my KPI is to be sure that we are within the annual budget. And if we can be a little lower, I'm happy – but not so much, I'm not happy because sometimes it means that some projects are late. I prefer to really be in our budget. First point. Sorry to disappoint, but it's not a major issue. I mean, to be clear, we are not in a company which make short-cycle Capex permanently, where you can maybe make less volatility.

The second one, I think the same answer made to Lydia if I remember the beginning of the first question I had. You have to wait for 2026. You have to be a little patient until February. We'll give you more color. It's clear that, again, we gave you a point, I think, in the chart of 2027 when we speak about reinvestment rate.

We told you that in 2027, yes, I remember, the reinvestment rate will go down from 70% to something like 50%. It was a chart which was in the New York slide deck. And that's the reality and it's coming from both. It's coming from, on one side, higher cash flow because we are delivering along the three years. So let's be clear, the figure of 2027 means by end of 2027, it's a three-year decrease. It's not beginning or I don't know which quarter. And it's an annual one, it's at

the end, to be clear. It doesn't mean that all the growth is backloaded. It just means that it's an average of the year 2027. And it's coming as well from the discipline of the Capex because we have your guidance is \$16 billion.

Both will contribute to this reinvestment rate, which is lower by 20%. If you have 20%, if you are lowering reinvestment rate, it's good and it's consistent with the free cash flow per share increase that we have announced. So that's a way to explain why we will be able to increase the free cash flow per share because we have more cash and less Capex. And that's where we want to embark all our investors who trust TotalEnergies.

Patrick Pouyanné - TotalEnergies SE - Chairman & CEO

Thank you to all of you for your attendance. I hope that all the analysis you've done will be reflected in the stock price. It was not the case this morning. But again, we are delivering. This is the message. We are delivering. We have a consistent strategy. We are just executing it. We deliver.

And frankly, the Board of Directors and myself as CEO, we are quite pleased with the results of this quarter because that demonstrates that all what we explained to you quarter after quarter and year after year is in the delivery mode and that free cash flow will increase. Thank you for your attendance.

Operator

Ladies and gentlemen, this concludes the conference call. Thank you for your participation. You may now disconnect.